

Executive Finance Briefing

Generated: Jun 02, 2026 11:28 AM

Latest KPI Month: Dec 2024

Executive Summary

This briefing packages the latest saved finance-agent narrative with local KPI data for leadership review.

The company's Annual Recurring Revenue (ARR) decreased by 1.16% to \$40,384,499, a decline of \$475,882 from the previous month.

- New business revenue increased by \$212,261.
- Expansion revenue increased by \$295,460, a 5.99% growth.
- Renewal revenue decreased by \$255,435.
- Contraction revenue increased by \$181,490.
- Churned revenue decreased by \$47,946.
- The net effect on ARR was a decline of \$475,882, driven by the decrease in renewal revenue and increase in contraction revenue, which outweighed the positive impact of expansion revenue growth.

The structural challenge revealed by the data is the decline in renewal revenue, which was the primary driver of the ARR decrease, highlighting a potential issue with customer retention.

- Renewal revenue: closely monitor the trend and investigate the root causes of the decline.
- Contraction revenue: track the increase and determine if there are opportunities to mitigate this trend.
- Expansion revenue: analyze the growth drivers to understand the potential for future growth.
- Churned revenue: continue to monitor the trend and investigate the impact on ARR.

The primary challenge facing the company is the decline in renewal revenue, which highlights the need to focus on improving customer retention and renewal rates to stabilize and grow ARR.

ARR Bridge

The bridge below summarizes the latest month movement from starting ARR to ending ARR.

Metric	Value
Latest Month	Dec 2024
Starting ARR	\$40,860,381
New ARR Bookings	\$7,707,678

Expansion ARR	\$5,213,518
Churned ARR	-\$568,663
Contraction ARR	-\$2,636,629
Ending ARR	\$40,384,499
Net ARR Movement	-\$475,882

Growth Drivers

Growth drivers represent new and expansion recurring revenue contributing positive ARR movement.

Growth Driver	Value
New ARR Bookings	\$7,707,678
Expansion ARR	\$5,213,518
Total Growth Drivers	\$12,921,196

Headwinds

Headwinds represent retention pressure from churned and contracted recurring revenue.

Headwind	Value
Churned ARR	\$568,663
Contraction ARR	\$2,636,629
Total Retention Headwinds	\$3,205,292

Key Risks

The structural challenge revealed by the data is the decline in renewal revenue, which was the primary driver of the ARR decrease, highlighting a potential issue with customer retention.

Leadership Actions

The primary challenge facing the company is the decline in renewal revenue, which highlights the need to focus on improving customer retention and renewal rates to stabilize and grow ARR.